

The Unhedgeable State

Political Risk, Prediction Markets, and the Gap in Europe's Risk Management Architecture

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Abstract

European financial regulation mandates comprehensive risk management across virtually every category of financial exposure — commodity prices, interest rates, currencies, credit, and natural catastrophes. Political risk is the single exception. Citizens and firms whose revenues, asset valuations, and employment decisions depend on election outcomes cannot purchase instruments to hedge that exposure. Prediction markets — exchange-traded event contracts that aggregate information into continuously updated probability estimates — are the instrument class that would close this gap. In Europe, they are classified as illegal gambling. This brief examines the consequences of that classification using Germany as a case study, where prediction market platforms are prohibited under the Glücksspielstaatsvertrag (GlüStV 2021) while international platforms actively list contracts on German state elections that German residents cannot lawfully access. The brief identifies the structural gap in Europe's risk management architecture, documents the actors who bear unhedgeable political risk, addresses the democratic integrity concerns that motivate the prohibition, and outlines the structural properties a European regulatory framework would require. The central argument is that the prohibition is not the result of a deliberate policy determination but of a classification decision that was made before the instrument's economic function was evaluated.

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Summary

European citizens and firms can hedge against nearly every category of financial risk — commodity prices, interest rates, currency fluctuations, credit defaults, natural catastrophes. One category remains structurally unhedgeable: political risk. A renewable energy firm whose subsidy regime depends on the outcome of a state election, a manufacturer whose supply chain is contingent on trade policy, or a property developer whose project viability hinges on zoning legislation — none can purchase a financial instrument that offsets their exposure to the political outcome. They can vote. They cannot hedge.

Prediction markets — exchange-traded contracts that pay out conditional on the occurrence of a specified event — are the instrument class that would close this gap. In the United States, Kalshi — the leading federally regulated prediction market exchange — processed over \$13 billion in notional volume in March 2026 alone. In Europe, these instruments are classified as illegal gambling under national gambling statutes and EU member state regulatory frameworks. Under current German gambling law, offering such products to German users without authorization exposes operators to enforcement measures. The Gemeinsame Glücksspielbehörde der Länder (GGL) enforces this prohibition through website blocking, payment blocking, and advertising restrictions.

This brief argues that the blanket classification of prediction markets as gambling creates an asymmetry in Europe's risk management infrastructure that is economically irrational, democratically consequential, and analytically resolvable. The argument does not depend on

defending prediction markets as a product category. It depends on identifying a structural gap in the regulatory architecture: European law permits hedging against every form of financial risk except the form most directly connected to democratic governance.

The Gap

Consider a wind energy company operating in Sachsen-Anhalt. Its revenue depends on state-level renewable energy policy — permitting regimes, setback distance regulations, grid access rules, and the political commitment to the Energiewende that sustains the legal and economic framework for wind power. These policies are shaped by the state government. A change in government composition — specifically, a shift toward a party whose platform includes dismantling renewable energy infrastructure — is a quantifiable financial risk to this firm. The firm's projected revenue, its asset valuations, its credit terms, and its employment decisions are all contingent on a political outcome.

This firm can hedge against changes in electricity prices on the European Energy Exchange in Leipzig. It can hedge against interest rate movements through standard derivatives. It can insure against weather risk through parametric products. It cannot purchase any instrument that offsets its exposure to the political outcome that determines whether its business model remains viable.

The example is not hypothetical. Polymarket, one of the largest global prediction markets, currently lists contracts on German state elections in Sachsen-Anhalt and Mecklenburg-Vorpommern with combined trading volume exceeding \$850,000 as of April 2026. These contracts produce continuously updated, market-derived probability estimates of each party's likelihood of winning — information that is more granular, more frequently updated, and more responsive to new developments than any polling instrument available in Germany. The volume itself, however, is notably thin — because the participants with the greatest informational advantage and the strongest hedging need are legally excluded. German firms with direct financial exposure to the election outcome, German investors holding state-issued debt, and German citizens whose employment depends on state policy cannot lawfully participate. The market is populated predominantly by international participants with no direct operational exposure to the jurisdiction. The prohibition does not merely prevent hedging. It degrades the quality of the price signal by excluding the participants who know the most about the underlying event. If the economically exposed actors were permitted to participate, the volume and informational efficiency of these markets would be substantially higher. The hedging instrument exists. The economic exposure exists. The legal framework prevents the two from meeting.

The Asymmetry

European financial regulation is built on a principle of comprehensive risk management. MiFID II, EMIR, Solvency II, and the Basel frameworks all assume that economic actors should have access to instruments that allow them to identify, measure, and manage their financial exposures. The regulatory architecture strongly emphasizes risk management and, in many contexts, facilitates or incentivizes hedging. Banks are required to identify and manage interest rate risk. Insurers are subject to prudent-person principles that presuppose the availability of risk management instruments. Corporates are encouraged through accounting standards (IFRS 9) to document and execute hedging strategies.

Political risk is the single category of financial exposure that this architecture excludes. The exclusion is not the result of a deliberate policy determination that political risk should remain unhedgeable. It is the result of a classification decision: prediction markets are classified as gambling under the Glücksspielstaatsvertrag (GlüStV 2021) in Germany, and under

equivalent national gambling frameworks across many EU member states. Some member states — notably France and the Netherlands — have conducted more deliberate assessments and reached the same conclusion. But in Germany, and in the EU's default regulatory posture, the classification preceded any functional analysis of the instrument's economic properties. Because the instrument is classified as gambling, the hedging function it could serve is never evaluated.

The classification rests on a surface-level resemblance: a prediction market contract involves wagering money on an uncertain outcome. By this criterion, so does every derivatives contract traded on Eurex, every insurance policy written at Lloyd's, and every credit default swap cleared through LCH. The distinguishing property of derivatives regulation has never been the absence of uncertainty. It has been the presence of an economic function — hedging, price discovery, risk transfer — that justifies permitting private actors to take financial positions on uncertain outcomes.

The question that European regulators have not asked — because the classification forecloses it — is whether prediction markets on political events serve an economic function analogous to the functions served by existing derivatives. If identifiable economic actors have contractual financial exposure to political outcomes, and if a prediction market contract would allow them to manage that exposure, then the instrument is performing a hedging function. Its classification as gambling does not change its economic function. It merely prevents the function from being exercised.

Who Bears Political Risk

The claim that political prediction markets serve a hedging function requires identifying economic actors with measurable, contractual exposure to political outcomes. These actors are not difficult to find.

Firms in regulated industries. Energy companies, pharmaceutical manufacturers, telecommunications providers, financial institutions, and agricultural operations all depend on regulatory frameworks set by elected governments. Changes in government composition directly affect subsidy regimes, licensing requirements, environmental standards, tax treatment, and market access rules. These are not statistical correlations. They are operational dependencies written into contracts, permits, and regulatory approvals.

Municipal bond holders and public finance participants. German Länder and municipalities issue debt whose serviceability depends on fiscal policy decisions made by elected officials. Investors in Länderanleihen and municipal debt bear exposure to political outcomes that determine tax revenue, spending priorities, and credit quality. This exposure is currently managed through credit rating assessments that update periodically and with significant lag relative to political developments. Prediction market prices would provide continuous probability estimates of political scenarios that affect creditworthiness.

Employers and employees in policy-dependent sectors. A coal transition region like the Lausitz in Brandenburg has thousands of workers whose employment depends on the political sustainability of Strukturwandel funding. These workers cannot hedge their employment risk any more than the firms employing them can hedge their subsidy risk. Both are exposed to political outcomes that determine whether transition funding continues, accelerates, or is reversed.

Cross-border investors and multinational firms. Foreign direct investment in EU member states carries political risk that investors currently manage through political risk insurance (PRI) products offered by institutions like Allianz Trade, MIGA, and national export credit agencies. These products cover expropriation, currency inconvertibility, and political violence

— but not regulatory policy changes resulting from democratic elections. A prediction market on regulatory outcomes would complement existing PRI products by covering the gap between catastrophic political risk (which is insurable) and routine policy risk (which is not).

The Democratic Dimension

The standard objection to political prediction markets is that monetizing elections corrupts democratic integrity. This concern deserves serious treatment. Three specific risks are cited: manipulation of market prices to influence public perception, insider trading by political actors, and the reduction of democratic participation to a financial transaction.

Each is a legitimate regulatory concern. None is an argument for prohibition. Each is an argument for regulation.

Market manipulation is a risk in every financial market. The European Market Abuse Regulation (MAR) and national enforcement frameworks exist precisely to prevent it. Extending MAR-equivalent protections to political prediction markets is a regulatory design question, not a prohibition question. The existence of manipulation risk does not justify banning the instrument any more than insider trading risk justifies banning equity markets.

Insider trading by political actors is preventable through participation restrictions. Legislation currently before the U.S. Congress would prohibit individuals who possess or could reasonably obtain material nonpublic information in the course of official duties from trading on related contracts, and at least one major U.S. prediction market exchange already enforces such restrictions through its own rulebook. Equivalent restrictions under European law would be straightforward to implement and would align with existing rules on conflicts of interest for members of the Bundestag (e.g., Abgeordnetengesetz § 44a and the Verhaltensregeln).

Reduction of democracy to a financial transaction conflates hedging with speculation. A firm that hedges its exposure to an election outcome is not “betting on democracy.” It is managing a financial risk that the democratic process creates. The democratic process is not diminished by the existence of instruments that allow economic actors to manage its financial consequences — any more than agricultural democracy is diminished by the existence of crop futures that allow farmers to manage price risk created by weather.

The Information Deficit

Beyond the hedging function, political prediction markets produce a public good that Europe currently lacks: continuously updated, market-derived probability estimates of political outcomes.

European political forecasting relies on opinion polls conducted by survey institutes — Infratest dimap, Forschungsgruppe Wahlen, INSA, Forsa. These polls are snapshots: conducted periodically, published with multi-day delays, subject to sampling error, and structurally unable to update in response to breaking developments. Between polls, there is no market-derived signal about how new information — a policy announcement, a scandal, an international development — has shifted the probability distribution of political outcomes.

Prediction markets fill this gap. Because participants have financial incentives to be accurate, and because prices update continuously, prediction market probabilities respond to new information within minutes. A Federal Reserve Board working paper on prediction markets found that contract prices on macroeconomic outcomes performed comparably to professional forecaster surveys and, for certain indicators, provided statistically significant

improvements over consensus forecasts, while offering distributional information that extends beyond existing market sources for key macroeconomic variables.

The information produced by political prediction markets is useful to a range of actors beyond the traders themselves: journalists assessing the state of a race, businesses planning for regulatory scenarios, investors pricing sovereign credit risk, and policymakers evaluating the likely political environment for upcoming legislation. Prohibiting the instrument eliminates the information it produces. There is no substitute source for continuous, financially backed, market-derived political probability estimates in Europe today.

Elements of a European Framework

This brief does not propose a specific regulatory instrument. It identifies the structural properties that a European prediction market framework would need to possess in order to serve the hedging and price discovery functions described above while addressing the legitimate concerns about democratic integrity.

Operator neutrality. The platform must function as an exchange, not a bookmaker. Its revenue must be independent of contract outcomes — derived from transaction fees, not from taking positions against users. This property is empirically testable: if the operator's revenue process satisfies statistical independence with respect to event outcomes, the platform is structurally an exchange. This test provides a formal, administrable criterion for distinguishing exchanges from gambling operators.

Contract scope limitations. Not all event contracts serve an economic function. Contracts on election outcomes, regulatory decisions, and policy changes carry measurable commercial consequence for identifiable economic actors. Contracts on entertainment outcomes, celebrity behavior, or cultural trivia generally do not. A European framework could distinguish between contract categories based on the presence or absence of demonstrable commercial consequence — permitting contracts where identifiable actors bear event-contingent financial exposure, and restricting contracts where no such exposure exists.

Participant restrictions. Elected officials, government employees, and persons with decision-making authority over the outcomes being traded must be prohibited from participating. These restrictions mirror existing conflict-of-interest frameworks and would be enforceable through identity verification requirements consistent with MiFID II client categorization and Anti-Money Laundering (AML) procedures.

Market integrity supervision. Prediction markets on political events must be subject to surveillance obligations equivalent to those imposed on regulated trading venues under MAR. This includes monitoring for manipulative trading patterns, requiring transaction reporting, and establishing enforcement mechanisms for market abuse. The European Securities and Markets Authority (ESMA) or national competent authorities would be the natural supervisory bodies.

Position limits and consumer protection. Retail participation should be subject to position limits, suitability assessments, and loss limits consistent with existing retail investor protection frameworks. The objective is to permit hedging and information production while preventing the consumer harm associated with unregulated gambling. The European framework for retail CFD trading (ESMA's 2018 product intervention measures) provides a relevant precedent for calibrating these protections.

The Cost of Inaction

The current prohibition does not prevent prediction market activity by European residents. It prevents regulated prediction market activity. German users access Polymarket through VPN services that are marketed openly, reviewed in mainstream German-language technology publications, and available for approximately €4 per month. The GGL's blocking measures create a compliance surface that determined users circumvent routinely. The prohibition's primary effect is not the elimination of prediction market participation but the elimination of regulatory oversight over that participation.

German residents who access prediction markets today do so on unregulated platforms, without consumer protection, without identity verification, without position limits, without market abuse surveillance, and without recourse in the event of a resolution dispute — as demonstrated by Polymarket's refusal to resolve over \$10.5 million in Venezuela-related contracts in traders' favor. The prohibition has produced the precise outcome that gambling regulation is designed to prevent: unprotected consumers on unregulated platforms.

Meanwhile, the hedging function goes unserved. The information function goes unproduced. And the regulatory opportunity — to shape a European framework that serves economic functions while protecting democratic integrity — goes unexplored, because the classification decision was made before the functional analysis was conducted.

Conclusion

The question is not whether prediction markets should be permitted without restriction. They should not. The question is whether a blanket prohibition — which prevents economic actors from hedging quantifiable political risk, eliminates a unique source of continuous political probability information, and drives participation to unregulated offshore platforms — serves Europe's interests better than a regulated framework that distinguishes between contracts with demonstrable economic function and those without.

European financial regulation has historically led the world in developing sophisticated frameworks for novel financial instruments — from MiFID's market structure rules to EMIR's clearing mandates to the EU AI Act's risk classification system. The regulatory tools to build a prediction market framework that serves hedging and information functions while protecting democratic integrity and consumer welfare already exist in the European regulatory toolkit. What is missing is not capability. It is the analytical step that precedes regulation: evaluating the instrument's structural properties and economic functions before assigning it to a regulatory category.

A wind energy company in Sachsen-Anhalt can hedge against every financial risk it faces except the one most likely to determine whether it survives. That gap is not a feature of Europe's risk management architecture. It is a defect. Closing it requires not the abolition of gambling law but the recognition that some instruments classified as gambling are performing economic functions that gambling law was never designed to prohibit.

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